ALASKA AIR GROUP, INC.

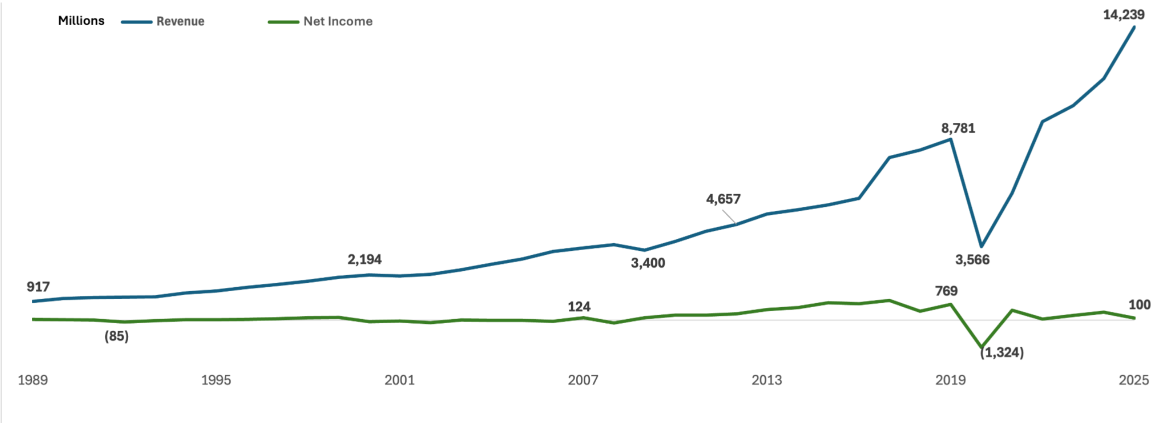
Financial Performance Analysis

FINANCIAL PERFORMANCE DIAGNOSTIC REPORT

COMPANY OVERVIEW

Alaska Air Group is the fourth-largest U.S. carrier, operating from hubs in Seattle, Honolulu, Portland, Anchorage, Los Angeles, San Diego, and San Francisco. The company serves over 140 destinations across North America, Latin America, Asia, and the Pacific through its Alaska Airlines, Hawaiian Airlines, and regional partners.

BUSINESS PROBLEM



Alaska Air Group has grown revenue **15.5x** since 1989, from $917 million to $14.2 billion, and **130%** since 2021. Yet net income has multiplied only **2.3x** over 36 years, rising from $43 million to just $100 million, and has fallen **79%** in the last five. Net margin now sits at 0.7%, down from 7.7%. **The company is scaling revenue but not scaling profit**.

KEY PROBLEM DRIVERS

1. **Cost Volatility & Control**
   - *Total costs remain highly unpredictable due to swings in Cost of Revenue and one-time items. Financial planning lacks a reliable foundation.*

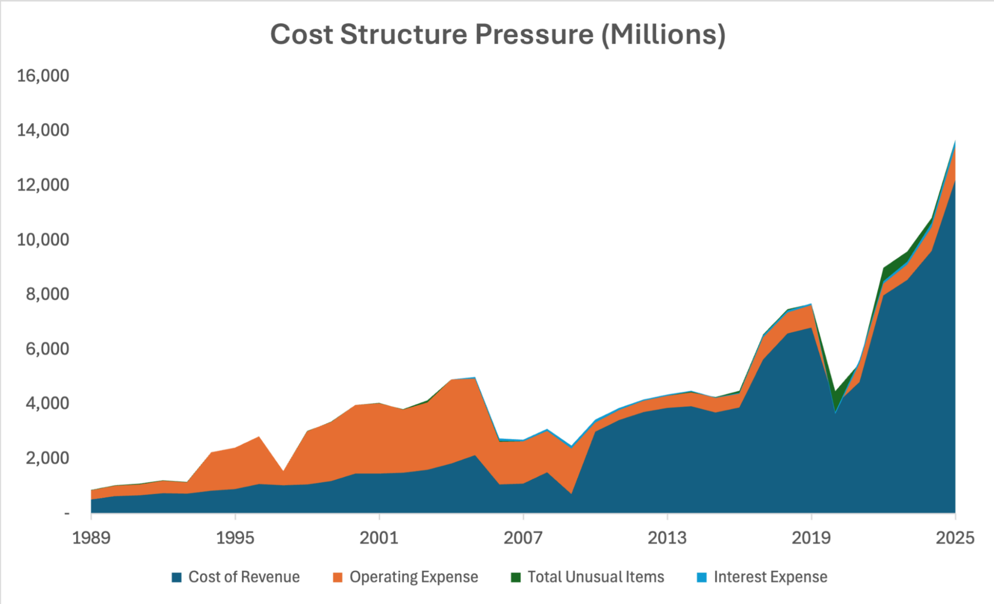
2. **Cost Efficiency Decline**
   - *Cost per dollar of revenue has worsened 26% since 2015, from $0.76 to $0.96; the company is scaling inefficiency.*

3. **No Operating Leverage**
   - *Revenue has more than doubled since 2021, yet operating margin has fallen from 10.9% to 3.9%. Growth is delivering no efficiency benefit*

4. **Margin Compression**
   - *Net margin has collapsed from 15.2% to 0.7%, leaving the company with no margin for error; a 5% revenue decline would wipe out all profit.*

5. **Escalating Debt Burden**
   - *Debt has more than doubled to $6.9B, interest expense consumes 42% of operating income, and negative free cash flow forces the company to borrow further, creating a vicious cycle.*

1. Cost Volatility & Control



While the company has improved operating efficiency over time, its cost structure has shifted toward high cost-of-revenue dependence, limiting operating leverage and preventing strong margin expansion despite revenue growth.

Insight: Alaska controlled selling, general, and administrative costs, holding OpEx at roughly 10% of revenue since 2015. However, total costs remain highly unpredictable due to extreme swings in Cost of Revenue and one-time items. These fluctuations are not random; they reflect external shocks and structural events that have repeatedly disrupted the company's cost trajectory:

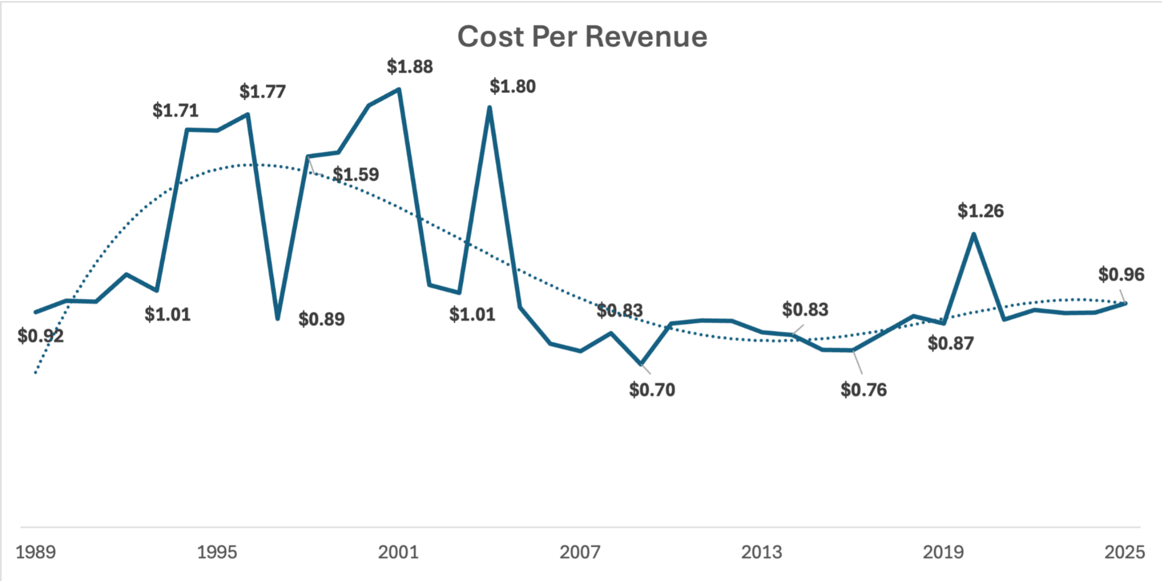
- **2008 Financial Crisis & Fuel Spike:** Record oil prices exceeding $100/barrel pushed fuel costs to an unprecedented share of revenue. Reactive cost measures created significant one-time charges and restructuring expenses.
- **2017 Virgin America Integration:** Merger-related costs contributed to a 44–50% rise in operating expenses.
- **2020 COVID-19 Pandemic:** Passenger counts fell to 5% of prior-year levels, forcing a 50% capacity reduction and over 4,000 workforce reductions. Restructuring charges and cost volatility followed. Fuel prices fell, but non-fuel unit costs surged 26% due to capacity cuts, and the company drew heavily on debt to preserve liquidity.

Expense growth has outpaced revenue growth in nearly every period analyzed. Cost volatility is structural, not random. The cost base is highly sensitive to external shocks and integration events with limited flexibility to absorb them.

Implication: Cost unpredictability complicates investment decisions, pricing strategy, and budgeting. External shocks force reactive cost-cutting, which generates further volatility. Recurring, large-scale cost disruptions constrain the company's ability to plan for sustainable profitability.

Root Cause: External shocks + structural sensitivity

2. Cost Efficiency Decline



Cost per revenue improved significantly from the early turbulent years, reaching its best level in 2009 at $0.70 per dollar of revenue. However, since then, efficiency has steadily declined, with cost per revenue worsening 26% to $0.96 in 2025.

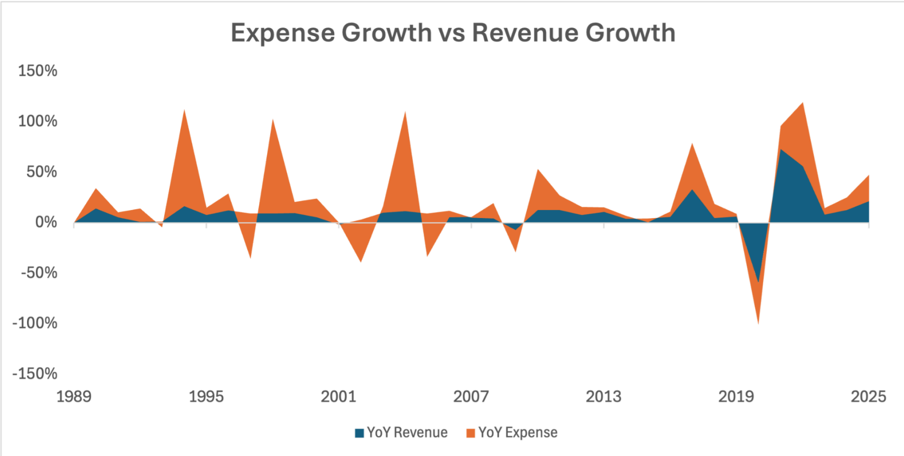
Insight: The early improvements reflect successful cost controls and operational streamlining. However, that progress has since reversed. Each external shock (2008, 2017, 2020) forced reactive cost-cutting and restructuring, which disrupted the operational discipline that drove early efficiency gains.

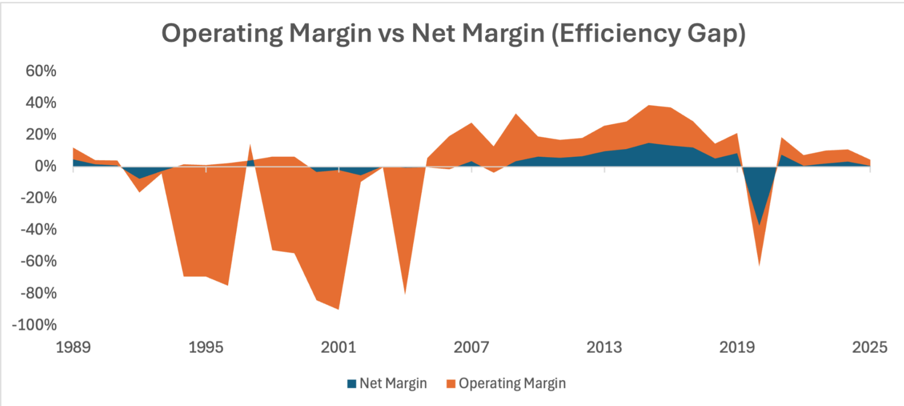
The company is becoming less efficient as it grows; each dollar of revenue now costs $0.96 to deliver. Rather than achieving economies of scale, the company is experiencing diseconomies of scale, where growth brings higher unit costs. The business is scaling inefficiently.

Implication: The cost volatility described above directly undermines efficiency. Each shock resets the cost base higher, and the company has not recovered operational discipline between shocks. Growth amplifies the problem rather than solving it.

Root Cause: Shocks disrupt operational discipline; costs rise with scale

3. No Operating Leverage





Expense Growth vs. Revenue Growth: In multiple periods, cost growth exceeds revenue growth, indicating sustained margin pressure.

Efficiency Gap (Operating Margin vs. Net Margin): A persistent gap between operating and net margins indicates that non-operating costs continue to erode profitability beyond core operations.

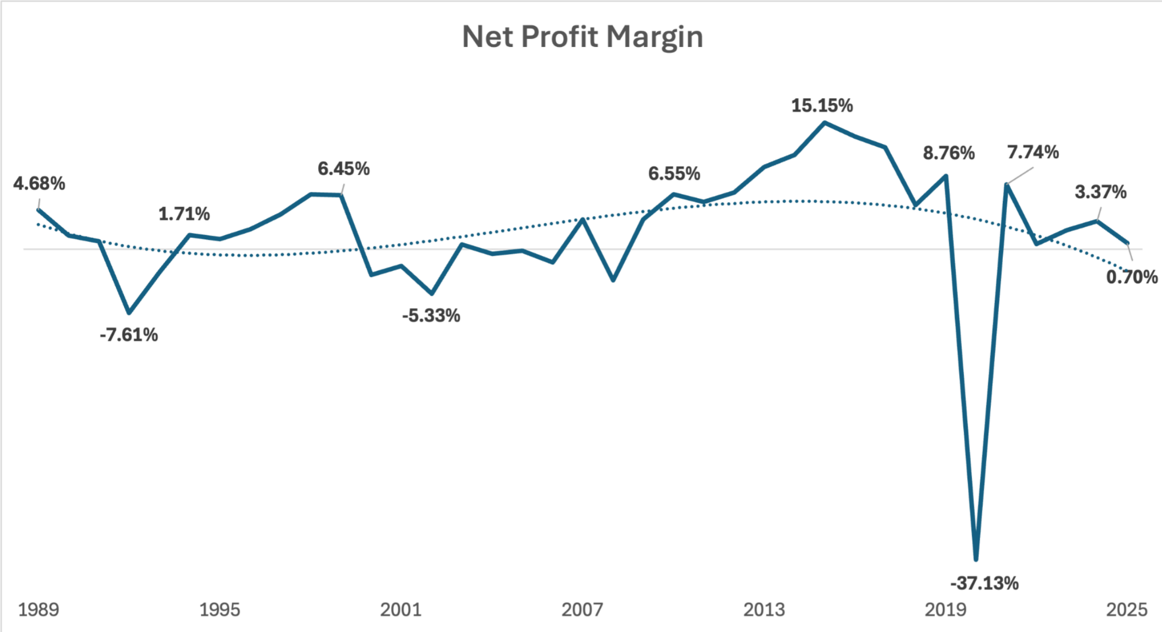
Insight: While revenue growth has been relatively stable, expense growth is highly volatile and frequently exceeds revenue growth, which explains the company's inconsistent profitability. From 2021 to 2025, revenue grew 130%, yet operating margin fell from 10.9% to 3.9%; a decline of 7 percentage points.

While operating performance improved significantly over time, a consistent gap between operating and net margins indicates that non-operating costs, such as interest, taxes, or one-time charges, continue to erode profitability. In 2025, operating margin stood at 3.9% while net margin was 0.7%, a gap of 3.2 percentage points. This gap has persisted across the period, averaging approximately 3 percentage points.

Implication: The combination of rising costs and persistent non-operating leakage means revenue growth delivers no margin benefit. The company is scaling revenue without scaling profit.

Root Cause: Revenue growth absorbed by rising costs

4. Margin Compression



In recent years, Net Margin has collapsed from 15.15% (2015) to 0.7% (2025).

Insight: Revenue is up, net income is volatile, and net margin is down. Despite steady revenue growth, profitability remains inconsistent due to volatile and often excessive expense growth, with a structural reliance on Cost of Revenue limiting operating leverage. While operating efficiency improved over time, persistent gaps between operating and net margins indicate ongoing profit leakage beyond core operations.

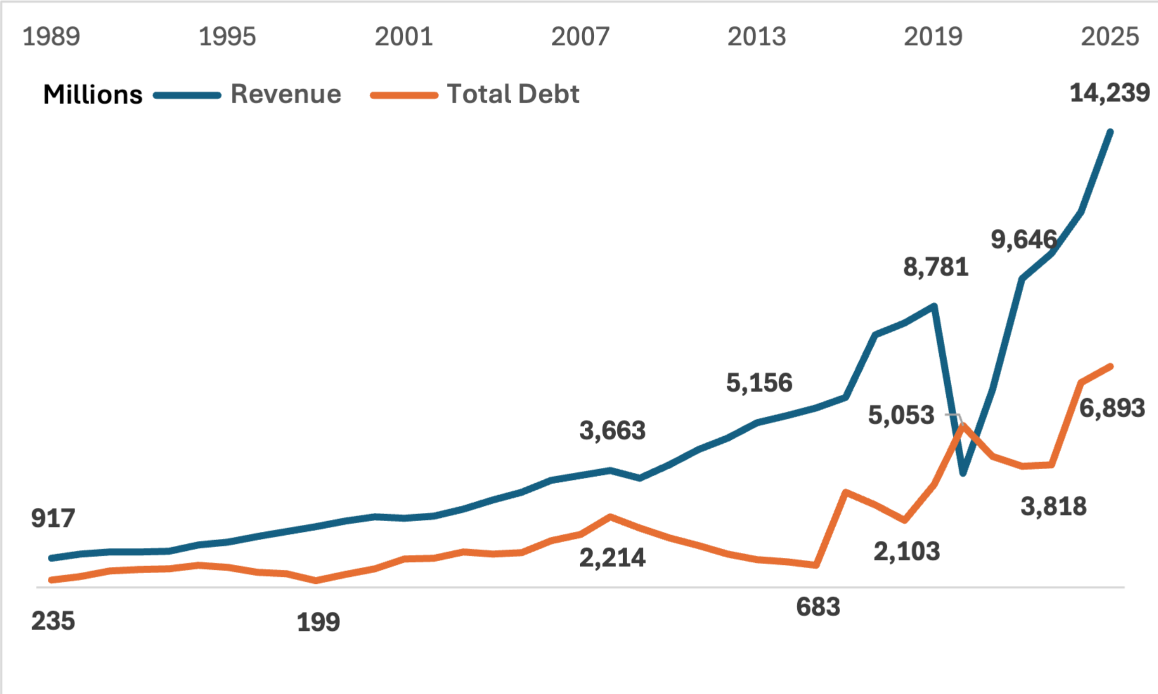
The most dramatic example occurred in 2020, when net margin fell to -37.13%. The company drew heavily on debt to preserve liquidity, adding interest expense that further compressed margins in subsequent years.

At 0.7% net margin in 2025, the company has no buffer. A 5% revenue decline would eliminate all profitability.

Implication: The company is structurally fragile. Margin compression is not cyclical; it is the logical result of a cost base that is volatile, inefficient, and unresponsive to scale. The 2020 shock exposed this fragility, and the company has not recovered a sufficient margin cushion since.

Root Cause: Cumulative Outcome of Inefficiency and lack of leverage

5. Escalating Debt Burden



Insight: Debt has more than doubled since 2019, rising from $3.2B to $6.9B, an increase of 115%. Interest expense has nearly quadrupled over the same period, from $63M to $235M, a 273% increase. The 2020 pandemic drove significant borrowing to preserve liquidity, and while debt declined temporarily in 2021–2023, it surged again in 2024–2025 to $6.9B.

Free cash flow has been negative in four of the last six years, including -$339M in 2025. This means the company is generating less cash from operations than it is spending on capital investments, forcing it to borrow further to fund operations and growth.

Interest expense now consumes 42% of operating income. At 1.6x interest coverage, the company has no margin for error. A modest decline in earnings would push coverage below 1.0x, meaning operating income would no longer cover interest obligations.

Implication: Debt is not a separate problem; it is a compounding factor. Each external shock forces borrowing, and borrowing in turn increases fixed obligations, making the company more vulnerable to the next shock. Negative free cash flow means the company cannot fund operations or growth internally, creating a self-reinforcing cycle: borrow to survive, pay more interest, borrow more to cover interest, and further erode profitability.

Root Cause: Shocks force borrowing; debt amplifies fragility

RECOMMENDATIONS

Action 1: Stabilize Cost Structure

- Identify the most volatile cost categories (fuel, maintenance, labor)
- Implement an enhanced fuel hedging program
- Diversify the supplier base to reduce concentration risk
- Build contingency buffers into operating budgets

Action 2: Restore Cost Efficiency

- Conduct cost-to-serve analysis
- Benchmark unit costs against industry peers
- Review procurement and vendor contracts
- Evaluate automation and process redesign opportunities

Action 3: Generate Operating Leverage

- Ensure revenue growth outpaces cost growth
- Price selectively to improve unit economics
- Align capacity additions with cost efficiency targets

Action 4: Reduce Debt Burden

- Refinance high-cost debt
- Use excess cash/asset sales for paydown
- Restrict new borrowing
- Improve free cash flow through CapEx discipline

Action 5: Build Margin Buffer

- Target net margin above 5%
- Stress-test against historical shock scenarios
- Maintain liquidity reserves

CONCLUSION

Fixing the cost structure is the prerequisite for all other improvements. Without it, revenue growth will continue to be absorbed by rising costs, and debt will continue to compound the problem. Without decisive action, margin compression, negative cash flow, and rising debt will lead to a liquidity crisis within 3–5 years.